Invoice Processing Guide
Xinglan Technology Co., Ltd. - Finance Operations / Accounts Payable
Version 3.2 - Effective 1 April 2025

1. Scope
This guide describes how accounts payable processes vendor invoices for goods and services purchased against a purchase order. Employee expense claims are handled by the expense policy and are out of scope here.

2. Submission window
Invoices must be submitted through the AP portal within 45 days of the invoice date. Invoices received after the 45-day window are returned to the vendor and must be re-issued with a current invoice date. The portal accepts PDF files up to 10 MB; scanned images without a text layer are rejected automatically.

3. Required fields
Every invoice must state the vendor legal name, invoice number, invoice date, purchase order number, subtotal, tax amount, total amount and the six-digit cost center. An invoice without a purchase order number is placed on hold until a matching PO is created. Holds longer than 15 business days are escalated to the finance controller.

4. Approval matrix
Invoices under USD 1,000 are approved by the team lead.
Invoices from USD 1,000 to USD 10,000 are approved by the department head.
Invoices above USD 10,000 require approval from the CFO.
Approval must be completed within 5 business days, otherwise the request is re-assigned to the next level in the matrix.

Every approved invoice keeps an audit trail: approver name, timestamp and the purchase order it was matched against.

5. Payment terms
The standard payment term is Net 30 from the approval date, not from the invoice date. A 2% early payment discount applies when an approved invoice is paid within 10 days of approval. Payments are executed every Tuesday and Thursday through the banking partner.

Vendors requesting a change of bank details must submit a signed form; the change takes effect only after a callback verification by the treasury team.

6. Duplicate invoices
The system detects a duplicate when the vendor name and the invoice number both match an existing record, regardless of amount or submission date. Duplicates are

blocked automatically and listed in the weekly exception report for the AP manager. Re-submitting a blocked invoice never creates a second record.

7. Currency and exchange rates
Foreign currency invoices are converted at the exchange rate published on the invoice date. A tolerance of 1.5% is allowed for rate differences; anything above that requires a written explanation attached to the invoice record.

8. Late payment
Overdue invoices accrue interest at 0.05% per day, counted from the day after the due date. Interest is paid only when the delay is caused by the company, not when the vendor submitted incomplete documents.

9. Exceptions
Prepaid expenses are handled by the expense policy. Questions about a specific invoice should be raised as an AP ticket and are answered within one business day.